tap2buy.lk

Startup Strategy & Business Plan

Social Media-to-Store Platform for Sri Lankan Micro-Sellers

Prepared for: Shahid

Date: March 2026 — Version 3.0

Bootstrap Edition — Built to be profitable from Day 1

WHAT'S NEW IN V3

This version addresses six critical gaps from v2:

1. **COD (Cash on Delivery) Strategy** — Added to MVP with fraud-safe architecture (Section 6.5)
2. **WhatsApp Commerce Integration** — Buyer-side WhatsApp ordering flow (Section 6.6)
3. **Facebook Seller Expansion** — Repositioned from "Instagram-only" to "Social Media-to-Store" (Section 2.4)
4. **Seller Churn Modeling** — Realistic net-growth projections with churn factored in (Section 5.4)
5. **Trust, Fraud & Seller Verification** — NIC verification, payout holds, dispute resolution (Section 11)
6. **Legal, Tax & Regulatory Compliance** — Business registration, CBSL regulations, VAT (Section 12)

Additionally, financial projections have been revised with conservative assumptions.

1. Executive Summary

tap2buy.lk is a mobile-first platform that lets Sri Lankan social media micro-sellers (home bakers, thrift stores, handmade jewelry makers) create a professional online store in 60 seconds and start accepting payments immediately. Sellers share their store link (tap2buy.lk/storename) in their Instagram bio, Facebook page, or WhatsApp status, and buyers can browse, pay (online or Cash on Delivery), and order without any DM back-and-forth.

The platform charges a flat 6% fee per online transaction (which includes PayHere's 3.3% payment processing) and 8% on COD orders. Sellers pay nothing upfront, nothing monthly on the free tier. Pro (LKR 1,990/month) and Business (LKR 3,990/month) tiers reduce fees and add premium features.

The total investment to launch is approximately LKR 49,000 (~~US$150). Monthly operating costs are LKR 2,258 (~~US$7). The platform is projected to be profitable from the first month of operation with just 15 active sellers.

Key changes from v2: COD support in MVP, WhatsApp buyer flow, Facebook seller acquisition, conservative financial projections with churn, regulatory compliance plan, and seller verification system.

2. Market Opportunity

2.1 The Sri Lankan Digital Landscape

- **10.4 million Facebook users** in Sri Lanka (2025, NapoleonCat) — the dominant social platform
- **1.95 million Instagram users** (early 2025), growing rapidly
- **~11 million WhatsApp users** (2024) — the primary messaging app
- 12.4 million internet users with 53.6% online penetration
- E-commerce market generated **US$3,347M in 2024**, growing at 20-25% YoY (CBSL Payment Bulletin Q3)
- Social commerce is mainstream — 60% of social media-based businesses operate in the informal sector (IPS Sri Lanka)
- **48% of online shoppers prefer Cash on Delivery** (2024 peer-reviewed study, Nature HASS Communications), down from the historical 95% but still the single largest payment preference
- Prior to digitization, 100% of social media MSMEs used bank transfers and 80% used COD (IPS Sri Lanka)

2.2 The Problem: DM Chaos

Thousands of Sri Lankan micro-sellers currently run their entire business through Instagram DMs, Facebook Messenger, and WhatsApp. Their workflow looks like this:

1. Customer sees product on Instagram/Facebook, sends a DM asking "How much?"
2. Seller replies with price and bank details (manually, every time)
3. Customer makes a bank transfer and screenshots the deposit slip
4. Customer sends screenshot via WhatsApp
5. Seller checks bank account (often manually, next day)
6. Seller confirms order, arranges delivery by calling courier
7. Seller sends tracking info via WhatsApp (if they remember)

This process takes 30-60 minutes per order. At 15+ orders/day, sellers spend more time managing DMs than making products. Orders fall through the cracks. Buyers abandon purchases because the process is too slow. There is no order history, no analytics, and no way to scale.

2.3 The Gap Nobody Has Filled

No platform in Sri Lanka currently combines: (a) instant storefront from social media bio link, (b) native PayHere payment integration, (c) COD order management, (d) mobile-first order management, and (e) pricing that works for a home baker making LKR 30,000/month. ShopOnCloud charges LKR 2,500/month before a seller makes a single sale. Shopify costs

~LKR 9,500+/month. dm2buy and Dukaan are India-only with UPI-based payments that don't work in Sri Lanka.

2.4 Beyond Instagram: The Facebook & WhatsApp Opportunity (NEW in v3)

V2 was positioned as "Instagram-to-Store." This was too narrow.

Platform	SL Users	Seller Activity	tap2buy Opportunity
Facebook	10.4M	Buy & Sell groups, FB Marketplace, business pages	Largest seller base; many don't use Instagram at all
Instagram	1.95M	Bio-link sellers, story-based selling	Core use case, but smaller total market
WhatsApp	~11M	Broadcast lists, catalog shares, order coordination	Repeat order channel; buyers prefer staying here

Repositioning: tap2buy.lk is a **"Social Media-to-Store"** platform. The product is identical — but the messaging, onboarding, and marketing now target all three platforms. A seller's tap2buy.lk link works in an Instagram bio, a Facebook post, or a WhatsApp message.

Why this matters for TAM: Instagram has ~2M users in SL. Facebook has 10.4M. By targeting Facebook sellers (who dominate groups like "Buy & Sell Colombo," "Online Sellers SL," "Women Entrepreneurs SL"), tap2buy's addressable seller base expands 3-5x.

---

3. Competitor Analysis

Platform	Type	SL Payments	Monthly Fee	Txn Fee	Social-Specific
tap2buy.lk	Social store builder	PayHere native + COD	LKR 0 (free tier)	6% online / 8% COD	Yes — built for it
ShopOnCloud	Generic ecommerce	PayHere/bank	LKR 2,500	0%	No
Shopify	Global ecommerce	Via plugin	~LKR 9,500+	2.9% + $0.30	No
dm2buy	IG store (India)	Cashfree/UPI	INR 999 Pro	0%	Yes (India only)
Dukaan	Mobile store	India only	INR 433+	0-3%	No
Daraz.lk	Marketplace	Built-in	LKR 0	5-25% + 3% + VAT	No

Key insight: dm2buy (3.1/5, 91 reviews) and Dukaan (3.7/5, 77,760 reviews) both suffer from broken customer support, OTP failures, glitchy product uploads, and payment delays. The bar for a reliable, responsive platform is low. Stable tech and WhatsApp-based support would immediately differentiate tap2buy.

V3 addition: No competitor in Sri Lanka offers COD order management integrated with online payments. Daraz handles COD but takes 5-25% + fees. tap2buy at 8% COD is dramatically cheaper.

---

4. Revenue Model

4.1 The Transaction Fee Model (Updated)

Payment Method	Total Fee	PayHere's Cut	tap2buy's Cut
Online (card/wallet/bank)	6%	3.3%	2.7%
COD (Cash on Delivery)	8%	0% (no payment processing)	8%

COD fee rationale: COD orders don't use PayHere, so there's no 3.3% processing cost. The 8% fee covers tap2buy's higher operational risk (trust, fraud, collection effort) and incentivizes sellers to encourage online payments. At 8%, tap2buy is still dramatically cheaper than Daraz (30%+).

Example (Online): Buyer purchases cake for LKR 2,500. PayHere processes payment. LKR 150 (6%) deducted. Seller receives LKR 2,350. Of LKR 150, PayHere keeps LKR 82.50 (3.3%) and tap2buy keeps LKR 67.50 (2.7%).

Example (COD): Buyer orders LKR 2,500 cake with COD. Pays LKR 250 booking fee online (PayHere takes 3.3% = LKR 8.25). Pays LKR 2,250 cash on delivery. Seller marks "payment collected." Platform fee of LKR 200 (8% of LKR 2,500) is debited from seller's tap2buy wallet. Seller's net: LKR 2,300.

4.2 Pricing Tiers

Feature	Free	Pro (LKR 1,990/mo)	Business (LKR 3,990/mo)
Online Txn Fee	6%	5%	4%
COD Txn Fee	8%	7%	6%
Products	Unlimited	Unlimited	Unlimited
Orders	Unlimited	Unlimited	Unlimited

COD Access	After 10 online orders	Immediate	Immediate
Store URL	tap2buy.lk/name	Custom domain	Custom domain
Branding	tap2buy badge	Remove branding	Remove branding
Analytics	Basic	Full dashboard	Full + export
Discount Codes	No	Yes	Yes
WhatsApp Notifications	No	Order updates to buyers	Full automation
FB/IG Pixel	No	Yes	Yes
Staff Accounts	1	3	10
Priority Support	Community	WhatsApp	Dedicated
Bulk Product Upload	No	No	Yes

Upgrade Incentive Math: A Pro seller doing LKR 100,000/month saves LKR 1,000/month (1% reduction on 100K). They pay LKR 1,990 for the subscription but also get custom domain, analytics, discount codes, and WhatsApp notifications. Net cost: just LKR 990 for premium features.

A Business seller doing LKR 250,000/month saves LKR 5,000/month (2% reduction on 250K). They pay LKR 3,990 — they're actually saving LKR 1,010/month. The subscription pays for itself.

4.3 Revenue Streams Summary

- **Stream 1 — Transaction fees (2.7% online / 8% COD):** Revenue from every sale. Starts from transaction #1.
- **Stream 2 — Pro/Business subscriptions:** Recurring monthly revenue from successful sellers.
- **Stream 3 — Featured placement (Phase 2, Month 9+):** Once 200+ stores exist, sellers can pay LKR 499-999/week for homepage and category page visibility.

---

5. Financial Projections (Revised — Conservative)

5.1 Startup Costs

Item	Cost (LKR)	When
Domain (tap2buy.lk)	3,700	Now

Google Play Console ($25 one-time)	8,000	Month 3-4
Apple Developer Account ($99/year)	32,000	Month 6+ (defer)
Business Registration (Sole Prop)	5,000	Now
Miscellaneous	5,000	Ongoing
TOTAL	**53,700 (~US$165)**	**Phased**

Phase 1 launch cost (web-only MVP): **LKR 13,700 only.** Domain + business registration + misc.

5.2 Monthly Operating Costs

Item	Monthly (LKR)	Notes
Hosting (DigitalOcean $6/mo droplet)	1,950	1 vCPU, 1GB RAM
Domain renewal (monthly equivalent)	308	LKR 3,700/year
SMS / Notifications	0	FCM (free) + WhatsApp
PayHere merchant account	0	Lite plan, no monthly fee
Cloudflare CDN + SSL	0	Free tier
Email (Zoho/Gmail)	0	Free tier
TOTAL MONTHLY COST	**2,258 (~US$7)**	

5.3 Revenue Projections — Conservative Model (18 Months)

V3 Changes from V2:

- Average orders reduced from 15/seller/month to **8/seller/month** (realistic for micro-sellers)
- Monthly seller growth reduced from 25% to **15% growth with 10% monthly churn** (net ~5% organic growth + acquisition bursts)
- Free-to-Pro conversion reduced from 12% to **7%**
- Pro-to-Business conversion reduced from 5% to **2%**
- **COD orders added:** Estimated 40% of orders are COD (based on 48% SL preference, discounted for online-first platform bias)
- Average order value: LKR 2,500

Revenue per order breakdown:

- Online order (60%): tap2buy earns LKR 67.50 (2.7% of LKR 2,500)
- COD order (40%): tap2buy earns LKR 200 (8% of LKR 2,500)
- **Blended revenue per order: LKR 120.50**

Month	Gross Sellers	Active Sellers	Churn	Pro	Biz	Txn Rev	Sub Rev	Total Rev	Costs	Net
5	15	15	0	0	0	14,460	0	14,460	2,258	+12,202
6	28	25	3	1	0	24,100	1,990	26,090	2,258	+23,832
8	50	42	8	3	0	40,488	5,970	46,458	2,500	+43,958
10	80	65	15	4	1	62,660	11,950	74,610	2,800	+71,810
12	120	95	25	6	1	91,580	15,930	107,510	3,500	+104,010
18	250	190	60	13	3	183,160	37,840	221,000	5,000	+216,000

Key differences from v2:

- Month 18 revenue: LKR 221,000 (v3) vs LKR 343,870 (v2) — **36% lower** but still highly profitable
- Month 18 active sellers: 190 (v3) vs 500 (v2) — **62% lower** accounting for churn
- **Still profitable from Month 5 (launch month)** — the core thesis holds even with conservative numbers

5.4 Churn Model (NEW in v3)

Churn Type	Rate	Description
Early abandonment	30%	Sellers who sign up but never complete their first order (within 30 days)
Monthly active churn	10%	Sellers who go inactive (0 orders in 30 days)
Seasonal fluctuation	+20% / -15%	Spike during Avurudu (April), Christmas; dip in off-season
Win-back rate	15%	Churned sellers who return within 90 days

"Active seller" definition: A seller with at least 1 completed order in the last 30 days. This is the metric that matters — not total registered sellers.

Churn mitigation strategies:

1. **Day 1-7 onboarding sequence:** WhatsApp messages guiding sellers through first product upload, first share, first order
2. **"Dormant seller" alerts:** If no orders for 14 days, send tips and success stories
3. **Seasonal campaigns:** Pre-built templates for Avurudu, Vesak, Christmas promotions
4. **Re-activation offers:** "Come back and get Pro free for 2 weeks" for churned sellers

---

6. Technical Architecture (MVP)

6.1 Stack

Layer	Technology	Why
Buyer Storefront	Next.js (React SSR)	Fast loading, SEO-friendly, path-based routing
Backend API	Node.js + Express	Existing expertise; rich PayHere SDK ecosystem
Database	PostgreSQL (on same droplet)	Free, multi-tenant with row-level isolation
Payments	PayHere Checkout API	Central Bank approved, cards + wallets + bank transfer
File Storage	Cloudflare R2 (or S3)	Product images; R2 has generous free tier
Notifications	FCM (push) + WhatsApp Business	Both free; no SMS costs
Hosting	DigitalOcean $6/mo droplet	1 vCPU, 1GB RAM — sufficient for MVP
CDN + SSL	Cloudflare (free tier)	Global CDN, free SSL, DDoS protection
Courier Integration	Koombiyo Node SDK	API available on GitHub, COD collection support

6.2 URL Structure

Path-based routing: `tap2buy.lk/storename`. Simpler than subdomains, easier to share verbally, consolidated SEO. Custom domains are a Pro tier feature in Phase 2.

6.3 MVP Feature Scope

Phase 1 (Web Only — Weeks 1-14):

- 60-second store creation (name, logo, first 3 products)
- Product listing with images, variants, pricing
- Shareable store URL (tap2buy.lk/storename)
- PayHere checkout with 6% fee auto-calculated
- **COD order flow with booking fee (NEW)**
- **Seller wallet system for COD fee collection (NEW)**
- Seller dashboard: orders, revenue, products (mobile browser optimized)
- Push notifications for new orders (FCM)
- Buyer WhatsApp chat button on store page
- **WhatsApp product link sharing (NEW)**
- **Seller NIC verification on signup (NEW)**
- **Buyer delivery confirmation via WhatsApp (NEW)**

Phase 2 (Month 4-8):

- Android app for sellers (Google Play)
- Pro tier: custom domain, analytics, discount codes, FB/IG pixel
- Business tier: bulk upload, multiple staff, API access
- Featured seller placement on homepage
- **Koombiyo courier API integration for automated shipping**
- **DirectPay as backup payment gateway**

Phase 3 (Month 9+):

- iOS app for sellers (App Store)
- Full courier integration (Domex, Pronto, Koombiyo) with automated tracking
- WhatsApp order notification automation
- Seller discovery marketplace / category pages

6.4 Payment Flow — Online Orders

1. Buyer clicks "Buy Now" on seller's store page
2. Redirected to PayHere hosted checkout (6% fee included in price)
3. PayHere processes card/wallet/bank payment
4. PayHere sends success webhook to tap2buy backend
5. Backend creates order, credits seller's tap2buy wallet (sale - 6%)
6. Sends push notification to seller
7. Seller fulfills order, marks as shipped
8. Seller can withdraw wallet balance to bank account (daily auto-payout or manual)

6.5 Payment Flow — COD Orders (NEW in v3)

This is the fraud-safe COD architecture that was missing from v2.

The Core Problem: With COD, the seller collects cash directly. The incentive to under-report or mark orders as "cancelled" to avoid fees is obvious. Pure trust doesn't scale.

The Solution: Prepaid Booking Fee + Wallet Deduction

```
 COD Order Flow:
1. Buyer selects "Cash on Delivery" at checkout
2. Buyer pays booking fee online (LKR 200 or 10% of order, whichever is lower)
   → This proves the order is real and eliminates prank/fake orders
   → PayHere processes this small payment (3.3% fee on booking amount)
3. Seller receives order notification with "COD" badge
4. Seller delivers product and collects remaining cash from buyer
5. Seller taps "Payment Collected" in dashboard
```

```
6. Platform fee (8% of full order value) is debited from seller's tap2buy wallet
7. If wallet balance drops below -LKR 2,000 → COD is auto-disabled for that seller
```

Fraud Prevention Layers:

Layer	Mechanism	What It Prevents
Booking fee	Buyer pays LKR 200 upfront online	Fake/prank COD orders (massive problem in SL)
Wallet deduction	8% fee auto-debited from wallet	Seller can't dodge platform fees
Negative balance kill-switch	COD disabled at -LKR 2,000	Seller can't accumulate unpaid fees
Graduated access	COD unlocks after 10 successful online orders	New/unproven sellers must build trust first
Buyer confirmation	WhatsApp message to buyer: "Did you receive your order?"	Catches sellers marking delivered orders as "cancelled"

COD Fee Collection via Wallet:

- Online payment earnings automatically fund the wallet (tap2buy deducts fees and credits the rest)
- COD fees are debited from the same wallet
- A seller doing 60% online / 40% COD will always have enough wallet balance — their online earnings cover COD fees automatically
- A seller going 100% COD with zero online orders? Can't happen — COD is unlocked only after 10 online orders, and the wallet must stay above -LKR 2,000

COD Access Tiers:

Seller Level	COD Access	Monthly COD Cap
New (0-30 days)	Locked — online only	LKR 0
Verified (10+ online orders)	Unlocked	LKR 25,000
Established (30+ orders)	Unlocked	LKR 100,000
Pro/Business tier	Unlocked	Unlimited

6.6 WhatsApp Commerce Integration (NEW in v3)

Why this matters: Sri Lankan buyers don't want to leave WhatsApp. The seller's existing WhatsApp broadcast list is the real competitor — not ShopOnCloud. Instead of fighting WhatsApp, make tap2buy work *through* WhatsApp.

MVP WhatsApp Features (no API cost):

1. **Product share links:** Every product has a "Share on WhatsApp" button that generates a pre-formatted message:

   ```
   Check out my [Product Name] - LKR 2,500
   Order here: tap2buy.lk/bakeshop/chocolate-cake
   ```

   Sellers can send this directly in WhatsApp conversations or broadcast lists.

2. **Order confirmation deeplinks:** After a buyer places an order, redirect them to WhatsApp with a pre-filled message to the seller:

   ```
   Hi! I just placed order #1234 on your tap2buy store for [Product Name]. 🎉
   ```

   This bridges the gap — buyers still get the WhatsApp conversation they want, but the order/payment is handled by tap2buy.

3. **WhatsApp chat button on store:** Every store page has a "Chat with seller" WhatsApp button using `wa.me/94XXXXXXXXX?text=...` deep links. Zero API cost.

4. **Buyer delivery confirmation:** After seller marks order as shipped, system sends buyer a WhatsApp deeplink: "Confirm delivery by clicking here" → opens a tap2buy.lk/confirm/[token] page.

Phase 2 WhatsApp Features (Business API — Pro/Business tier):

- Automated order notifications to buyers (order confirmed, shipped, delivered)
- WhatsApp catalog sync (seller's tap2buy products appear in WhatsApp Business catalog)
- Cost: ~$0.025/message (utility category) via Twilio or Wati as BSP
- Estimated cost per seller: LKR 50-150/month (covered by Pro subscription margin)

---

7. Growth Strategy: First 100 Sellers (Updated)

7.1 White-Glove Onboarding (Sellers 1-20)

Personally DM 30-50 sellers across **Instagram AND Facebook** in Colombo. Target:

- **Instagram:** Accounts with 500-5,000 followers in home baking (#colombobaker, #homebakingSL), thrift fashion (#thriftSL, #prelovedsrilanka), handmade goods (#handmadeSL)
- **Facebook:** Active sellers in "Buy & Sell Colombo," "Online Sellers SL," "Women Entrepreneurs SL" groups

- **WhatsApp:** Ask early sellers to share their store link in existing WhatsApp broadcast lists

Offer to set up their store for them. Ask for feedback. Cost: LKR 0.

7.2 Content Marketing (Sellers 20-50)

Create an "Instagram Seller DM Audit" — a carousel post or Reel showing how many sales sellers lose to DM drop-offs. Hook: "You're losing 60% of your DM orders. Here's why." CTA: "We built a free tool that fixes this."

Facebook-specific content (NEW): Post in SL seller Facebook groups with comparison posts — "Are you still screenshotting bank slips? Here's what automated looks like." Facebook groups are where the volume is.

7.3 Referral Program (Sellers 50-100)

Invite 3 seller friends → get 1 month Pro free (LKR 1,990 value). Both referrer and referred get the reward. Cost per acquisition: ~LKR 663/seller.

7.4 Milestone Targets

Week	Sellers	Method	Cost
1-2	10-15	White-glove DM outreach (IG + FB)	LKR 0 (your time)
3-4	25-40	FB groups + content marketing	LKR 0-5,000
5-6	50-70	DM Audit content + referral loop	LKR 10,000-15,000
7-8	80-110	Workshop + organic growth	LKR 10,000-20,000

Total cost to reach 100 sellers: LKR 25,000-40,000 (~US$80-130).

---

8. Development Timeline (Updated)

Phase	Scope	Duration	Milestone
1	Backend API: Auth, multi-tenant DB, product/order CRUD, PayHere integration, 6% fee logic, **seller wallet system, COD order flow**	4-5 weeks	API functional
2	Buyer storefront: Next.js, product pages, checkout with fee display, **COD checkout with booking fee**, path-based routing, **WhatsApp share links**	3-4 weeks	Stores live on web

3	Seller dashboard: Mobile-optimized web app for product mgmt, orders, revenue tracking, **wallet management, COD order management, NIC upload**	3-4 weeks	MVP complete
4	Testing, PayHere sandbox, 10-20 beta sellers, **COD flow testing**	2-3 weeks	Beta launch
5	Public launch + white-glove onboarding	1-2 weeks	LIVE

Total time to MVP launch: 14-18 weeks (3.5-4.5 months).

Added ~2 weeks vs v2 for COD flow, wallet system, and seller verification. Worth it — COD could represent 40% of all orders.

---

9. Key Risks & Mitigations (Updated)

Risk	Impact	Likelihood	Mitigation
Low adoption	Sellers stick with free DMs	Medium	White-glove onboarding; 6% is less than any alternative; no upfront cost
6% feels high	Sellers compare to 0% cost of DMs	Medium	Frame as "payment processing fee" not commission; compare to Daraz's 30%+
COD fraud	Sellers under-report cash collections	High	Booking fee + wallet deduction + graduated access + buyer confirmation (Section 6.5)
PayHere downtime	Orders can't be processed	Low	Add DirectPay as backup in Phase 2
PayHere volume limit	Lite plan caps at LKR 200K/month	Medium	Upgrade to Plus (LKR 3,990/mo) when GMV exceeds LKR 200K; factor into costs
Competitor copies	ShopOnCloud adds social features	Low	Speed to market + community relationships are the moat
Seller churn	Sellers go inactive after initial excitement	High	Onboarding sequence, dormancy alerts, seasonal campaigns, win-back offers
Regulatory issues	CBSL flags payment pooling model	Medium	Use PayHere as licensed aggregator; don't hold funds; consult fintech lawyer (Section 12)
Fake stores / scams	Fraudulent sellers damage platform trust	Medium	NIC verification, payout holds, dispute resolution (Section 11)

---

10. Immediate Next Steps

1. **Register tap2buy.lk domain** this week (LKR 3,700 via register.lk)
2. **Register business** as sole proprietorship at Divisional Secretariat (~LKR 5,000)
3. **Secure @tap2buy.lk** Instagram handle, Facebook page, and WhatsApp Business number
4. **Apply for PayHere Lite merchant account** (free, takes 3-7 days for approval)
5. **Consult a fintech lawyer** about payment facilitation model — 1-hour consultation (~LKR 10,000-15,000) to confirm you're not operating as an unlicensed payment intermediary
6. **DM 20 sellers** on Instagram AND Facebook — don't pitch, just ask about their DM workflow pain points
7. **Set up DigitalOcean droplet** ($6/mo) and begin backend API development
8. **Build PayHere checkout integration** with 6% fee calculation as the first feature
9. **Build seller wallet system** and COD order flow as the second feature
10. **Get first beta store live within 5 weeks**

---

11. Trust, Fraud & Seller Verification (NEW in v3)

This section was entirely missing from v2. For a platform handling money, this is not optional.

11.1 Seller Verification (Onboarding)

Verification Level	Required For	What's Collected	How It's Verified
Basic	Free tier signup	Phone number + email	OTP verification
Identity	First payout	NIC number + NIC photo (front)	NIC format validation (open-source parser available: github.com/slwdc/NICParser) + manual review for first 200 sellers
Bank	First payout	Bank account name + number + branch	Must match NIC name; first micro-deposit verification (LKR 1)

Why NIC verification matters: 60% of social media businesses in Sri Lanka are unregistered (IPS data). You're not trying to force registration — but you need to know who is receiving money through your platform. This protects you legally and protects buyers from scams.

Implementation for MVP: NIC validation can be done programmatically using open-source libraries. For the first 200 sellers, manually review NIC photos (takes 2 minutes each). At scale,

consider IDMERIT or the Department of Registration of Persons' official verification web service.

11.2 Payout Controls

Control	Rule
First payout hold	3 business days after first order (allows time for disputes)
Subsequent payouts	Next business day (standard) or same-day (Pro/Business)
Payout minimum	LKR 500 (prevents micro-withdrawal abuse)
Dispute hold	If buyer disputes, payout for that order is frozen pending resolution
Negative wallet	If wallet balance goes below -LKR 2,000, all payouts frozen until balance cleared

11.3 Buyer Protection

Scenario	What Happens
Buyer pays online, seller doesn't deliver	Buyer contacts tap2buy via WhatsApp. 7-day resolution window. If seller can't prove shipment, full refund from seller's wallet.
Buyer pays COD booking fee, seller doesn't deliver	Booking fee refunded automatically after 7 days if seller doesn't mark as shipped.
Buyer receives wrong/damaged item	Seller and buyer negotiate via WhatsApp. tap2buy mediates if needed. No automatic refund (too easy to abuse).

11.4 Store Takedown Criteria

- 3+ unresolved buyer complaints within 30 days → store suspended pending review
- NIC verification failure → store disabled immediately
- Wallet balance below -LKR 5,000 for 14+ days → store suspended
- Fraudulent product listings (reported by community) → 24-hour review, takedown if confirmed

---

12. Legal, Tax & Regulatory Compliance (NEW in v3)

12.1 Business Registration

Recommended: Sole Proprietorship (for now)

Structure	Cost	Timeline	Liability	Payment Processing

Sole Proprietorship	~LKR 5,000	1-2 weeks	Unlimited personal liability	PayHere accepts sole prop merchants
Private Limited (Pvt Ltd)	LKR 25,000-40,000 + legal fees	2-4 weeks	Limited to shareholding	Better for scaling, required for CBSL licensing

Start as sole proprietorship to keep costs minimal. Convert to Pvt Ltd when monthly GMV exceeds LKR 1M or when seeking external funding. PayHere's Lite plan accepts sole proprietorship merchants.

12.2 CBSL Payment Regulations — Critical Analysis

The Risk (from v2 assessment): If tap2buy collects buyer payments into a pooled account and then disburses to sellers, this could be classified as a Money or Value Transfer Service (MVTS). As of June 2024, all MVTS providers must be registered with CBSL, with minimum capital of LKR 20 million.

The Solution — You Are NOT an MVTS:

tap2buy does **not** hold or transfer funds between parties. Here's the compliant architecture:

```
COMPLIANT MODEL (tap2buy as a PayHere merchant):
1. Buyer pays via PayHere → PayHere (licensed aggregator) holds funds
2. PayHere settles to tap2buy's merchant bank account (next business day)
3. tap2buy credits seller's wallet balance (internal ledger entry only)
4. Seller requests withdrawal → tap2buy initiates bank transfer to seller
```

Key distinction: PayHere is the licensed payment aggregator (CBSL-approved since 2018). tap2buy is simply a PayHere merchant that subsequently shares revenue with sellers. This is the same model used by thousands of affiliate programs and marketplace platforms.

However, there are gray areas:

- If tap2buy holds funds for more than T+1 (next business day), it could be viewed as "holding customer funds"
- If tap2buy's daily payout volume becomes large, CBSL may take interest

Recommended actions:

1. **Consult a fintech lawyer** before launch (budget LKR 10,000-15,000 for a 1-hour consultation)
2. **Process payouts within T+1** — don't hold seller funds longer than necessary
3. **Keep records** of all PayHere settlements and seller payouts for audit trail
4. **Plan for Pvt Ltd conversion** and potential CBSL registration when GMV exceeds LKR 5M/month

PayHere Plan Implications:

PayHere Plan	Monthly Fee	Processing Fee	Transaction Limit	Monthly Volume Limit
Lite (MVP)	Free	3.30%	LKR 50,000/txn	LKR 200,000/month
Plus (Scale)	LKR 3,990/mo	2.99%	LKR 250,000/txn	LKR 3,000,000/month
Premium	LKR 9,990/mo	2.69%	LKR 1,000,000/txn	Unlimited

Important: PayHere Lite caps at LKR 200,000/month total volume. With 15 sellers averaging 8 orders of LKR 2,500, that's LKR 300,000/month in GMV — you'll hit the Lite cap by Month 5-6. **Budget for upgrading to Plus (LKR 3,990/mo) by Month 6.** Update operating costs accordingly.

12.3 Tax Obligations

Tax	Threshold	Rate	When to Act
Income Tax	All income	Progressive (6-36%)	File annually from Year 1; keep records of all revenue and expenses
VAT	LKR 80M quarterly turnover	18%	Unlikely in Year 1-2; register when approaching threshold
Withholding Tax	Payments to sellers	5% WHT on commissions if >LKR 50,000/month to one payee	Monitor per-seller payouts; unlikely to trigger early
APIT	If you hire employees	Per salary slab	Only relevant when you have staff

Practical advice: Get a basic accountant (LKR 5,000-10,000/month) once monthly revenue exceeds LKR 50,000. Until then, maintain a simple spreadsheet of PayHere settlements, seller payouts, and expenses.

---

13. Courier Integration Strategy (NEW in v3)

13.1 Sri Lankan Courier Landscape

Courier	Coverage	COD Support	API	COD Settlement	Best For
Koombiyo	Island-wide (100+	Yes	Yes (Node.js SDK on	7-15 days	E-commerce specialists; lowest rates

	locations)		GitHub)		
Pronto	Island-wide (34+ years)	Yes	Contact for details	15 days	Reliability; established network
Domex	Island-wide	Yes	Basic tracking	Every 15 days	Corporate/document courier
PickMe	Colombo metro area	No (on-demand only)	Yes	N/A	Same-day delivery in Colombo

13.2 Phased Courier Integration

MVP (Phase 1): No courier integration. Sellers handle delivery themselves (personal delivery, calling courier directly). This is how they operate today — tap2buy doesn't make it worse. Store checkout collects buyer's delivery address. Seller sees it in their dashboard.

Phase 2 (Month 4-8): Koombiyo API integration.

- Seller clicks "Create Shipment" in dashboard → auto-fills Koombiyo order via API
- Tracking number auto-populated; buyer gets WhatsApp notification with tracking link
- For COD orders: Koombiyo collects cash from buyer and settles to tap2buy (7-15 day cycle)
- This eliminates the COD trust problem entirely — the courier collects, not the seller

Phase 3 (Month 9+): Multi-courier support (Pronto, Domex). Seller chooses preferred courier. Rate comparison in dashboard.

13.3 Why Koombiyo First

- Only SL courier with a published, open-source Node.js SDK
- Specializes in e-commerce (not just documents)
- Lowest rates in Sri Lanka (self-reported)
- COD collection and settlement built into their service
- When Koombiyo handles COD collection in Phase 2, it eliminates the seller-side trust problem — cash goes from buyer → Koombiyo → tap2buy → seller wallet

---

14. Key Metrics to Track

Metric	Definition	Target (Month 6)	Target (Month 12)
Active Sellers	Sellers with 1+ order in last 30 days	25	95

GMV	Total value of all orders	LKR 500,000	LKR 1,900,000
Take Rate	Platform revenue / GMV	4.8% (blended)	5.0% (blended)
Orders per Seller	Average monthly orders per active seller	8	10
COD %	COD orders / total orders	40%	35% (declining as trust in online grows)
Free → Pro Conversion	% of free sellers upgrading	4%	7%
Monthly Churn	% of active sellers going inactive	15%	10%
NPS	Net Promoter Score (survey via WhatsApp)	40+	50+
Support Response Time	Average WhatsApp reply time	< 2 hours	< 1 hour
Dispute Rate	Buyer disputes / total orders	< 3%	< 2%

Summary: V2 vs V3 Comparison

Dimension	V2	V3
Positioning	Instagram-to-Store	Social Media-to-Store (IG + FB + WhatsApp)
COD Support	Phase 3 (Month 9+)	**MVP — with fraud-safe architecture**
Revenue per order	LKR 67.50 (online only)	LKR 120.50 (blended online + COD)
Seller target (Month 18)	500 sellers	190 active sellers (realistic with churn)
Revenue target (Month 18)	LKR 343,870	LKR 221,000 (conservative but credible)
Churn modeling	None	10% monthly churn + 30% early abandonment
Fraud prevention	None	NIC verification + wallet + payout holds + buyer confirmation
Legal/regulatory	Not addressed	CBSL analysis + business registration + tax plan
WhatsApp strategy	Chat button only	Product sharing + buyer confirmation + deeplinks
Facebook strategy	Not addressed	Targeted seller acquisition via FB groups
Courier integration	Phase 3	Phase 2 (Koombiyo API) with clear roadmap

PayHere plan limits	Not addressed	Lite cap identified; Plus upgrade budgeted

---

Total risk: LKR 13,700 to launch a web MVP. LKR 53,700 for the full phased rollout including mobile apps and business registration. Monthly operating cost: LKR 2,258 (rising to ~LKR 6,250 when PayHere Plus upgrade is needed). Profitable from Month 1 of launch even with conservative projections.

What's genuinely new in v3: This plan now honestly addresses COD (40% of potential orders), accounts for seller churn, has a regulatory compliance strategy, includes fraud prevention from day one, and targets the full Sri Lankan social selling market — not just Instagram. The revenue projections are 36% lower than v2, but they're projections you can actually defend to an investor or a co-founder.

— End of Document —

Version 3.0 — March 2026 Prepared by Shahid with strategic review and market research